

Micron Q1 2026 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the ONLY report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Micron Technology, Inc. (MU)
Report	Fiscal Q1 2026 (November quarter)
Release date	Wednesday 17 December 2025, after close
Earnings call	4:30pm ET
Source	Motley Fool transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	44 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. “2026 will see a strong year-over-year growth in our HBM... we have completed agreements on price and volume for our entire calendar 2026 HBM supply” (Sanjay Mehrotra, CEO).
2. “In the medium term, we are only able to meet about 50% to two-thirds of our demand from several key customers” (Sanjay Mehrotra, CEO).

3. *“Yields have been good... node transitions will be a tailwind to our cost as these ramps proceed well”* (Mark Murphy, CFO).
4. *“Mathematically, you get less in gross margin percent for the same increase in price... growth will be more gradual”* (Mark Murphy, CFO).
5. *“In some of the consumer markets... some of the unit demand may get impacted... given memory prices”* (Sanjay Mehrotra, CEO).
6. *“Durable industry fundamentals... in the foreseeable future... we are in a very good position with all the tailwinds”* (Sanjay Mehrotra, CEO).

Your scoring: fill in below, then seal

1 Sentiment score

Score: -0.20

Rationale. Calendar 2026 HBM pricing is already locked, which caps the upside, and the CFO warns margin percentage gains get harder from here while consumer demand may crack on price.

2 Directional signal

Signal: SELL

Rationale. With 2026 pricing fixed and margin gains flagged as gradual, the easy part of the cycle looks priced. SELL.

3 Structured summary

- **What the source shows.** Demand so far exceeds supply that only half to two thirds of key customers can be served.
- **What the source cannot show.** No numbers, so the sold-out position cannot be translated into revenue or margin.
- **Expectations bar.** For a cyclical trading on momentum, locked pricing can read as a ceiling.
- **Conviction.** Low-moderate conviction: this is a bullish call read against a demanding bar.

4 Evidence quotes

1. *“2026 will see a strong year-over-year growth in our HBM... we have completed agreements on price and volume for our entire calendar 2026 HBM supply”* (Sanjay Mehrotra, CEO).
2. *“In the medium term, we are only able to meet about 50% to two-thirds of our demand from several key customers”* (Sanjay Mehrotra, CEO).
3. *“Yields have been good... node transitions will be a tailwind to our cost as these ramps proceed well”* (Mark Murphy, CFO).

— SEALED —

Overnight move and call verification

MU close, 17 December 2025 (release day)	\$225.52
MU open, 18 December 2025	\$256.53
Overnight move	+13.75%

Call verification

- HOLD band test: $|+13.75\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+13.75%
D+1 close	+10.21%
D+3 close	+22.65%
D+5 close	+27.12%
D+10 close	+39.86%
D+20 close	+60.85%